GMS WEEKLY

Your Source for Recycling News

September 8tht, 2023
Volume 253, Issue 1099
Week 36

Highlights:

- **Speculative.**
- **India surge.**
- **Bangla stranded.**
- **Container sales.**
- **GMS platform.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"The successful man will profit from his mistakes and try again in a different way."

– Dale Carnegie

MARKET COMMENTARY

BULLISH WEEK!

Another week of speculation has passed in the Indian sub-continent ship recycling markets, as sales continue to register at ever increasing numbers, to increasingly bullish Cash Buyers who certainly seem to be banking on a Q4 revival.

The chief proponents of this most recent and ongoing resurgence are India, and a re-merging Pakistani market that is back and bidding once again, after almost a year on the sidelines amidst political, financial, and disastrous economic chaos that nearly drove the country to a grinding halt.

Bangladesh meanwhile remains stranded at the foot of the sub-continent price rankings for another week, with truly lowball and non-serious offers emerging from any of the currently open Chattogram Recyclers – who themselves are an increasingly dwindling group amidst these most recently limiting L/C restrictions.

As such, it has increasingly turned into a sub-continent market of two, with India and Pakistan at the forefront, duking it out on any available market tonnage.

On the West End, Turkey remains suspended in no-man's land, with currencies unchanged and fundamentals dancing around levels from last week.

Overall, there has been a noticeable increase in the number of container vessels that were concluded for a recycling sale in recent weeks, and a couple more were confirmed this week as well, including a Sinokor controlled unit at a highly speculative USD 589/LT LDT.

In other news, GMS is proud to announce the roll out of the world's first Ship Recycling Digital Platform, appropriately entitled the **'Ship Recycling Portal'**. The platform aims to revolutionize the way sales and purchases of ships happen locally into sub-continent markets, by offering a more transparent, efficient, and overall convenient service. The platform was launched at an exclusive event in Bhavnagar, India that was attended by over 80 leading ship recyclers. More info can be found at:-

https://bit.ly/ship-recycling-portal

For week 36 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan*	Improving	525 / LDT	545 / LDT	565 / LDT
2	India	Improving	515 / LDT	535 / LDT	555 / LDT
3	Bangladesh*	Weak	480 / LDT	500 / LDT	520 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

ON THE SLIDE!

Miserable week.

Bangladesh has endured another miserable week on the sidelines as local steel plate prices continue to remain dead in no-man's land, in addition to the Bangladeshi Taka that has only moved in an increasing (yet gradual) descend against the U.S. Dollar, ending the week at levels in excess of BDT 109.50.

All of this has left Chattogram Buyers handicapped with their offer levels over recent weeks, with no chance of competing or even securing any units on offer (even those that are placed geographically to Bangladesh), so bad has the present condition become in the domestic ship-recycling sector of late.

Avoid.

Moreover, as competing sub-continent markets have recently taken off, it is only natural to expect a period on the sidelines for the Chattogram market, whilst they continue to adjust to these new higher realities from the competition, all while coming to terms with declining fundamentals of their own.

L/Cs are also proving to be troublesome to obtain and combined with the degraded steel prices & stagnant overall demand, this is a market to avoid for the time-being.

NO MARKET SALES REPORTED

INDIA

POSITIVITY!

G20 optimism.

India has certainly enjoyed another positive week, with some increasingly & impressively priced container sales being reported to an India re-delivery, in addition to swelling enquiries that have been emerging from hungry Alang Recyclers, with firmer offers that may inadvertently satisfy some of these ongoing above market Cash Buyer acquisitions that have recently been plaguing the industry.

Approaching 600!

Those on the wire have reportedly been two more container units that were committed this week as at the UGL HONGKONG (7,009 LDT) was concluded for a healthy USD 530/LT LDT, basis an 'as is' Oman delivery.

Subsequently, Sinokor fixed another one of their smaller container vessels as the SINOKOR VLADIVOSTOK (4,691 LDT) managed to fetch an astonishing and well-above market USD 589/LT LDT (reportedly, on a delivered basis).

This positivity could be attributed to the impending G20 summit in India next week, which should see most of the world's top leaders gather here, in order to discuss and eventually implement a raft of new infrastructure projects, in addition to various other fincial stimuli that are expected to further boost India's economy.

However, fundamentals affecting the domestic ship recycling industry have certainly not been helpful this week, as local steel plate prices declined marginally by about USD 5/Ton, while the Indian Rupee finally crossed Rs. 83 against the U.S. Dollar, only to dip below before the week ended.

Just how these sales will eventually play out basis an India delivery remains to be seen. For now, local sentiments remain on a relatively positive note, as the onset of the traditionally positive Q4 period mixed in with the G20 summit is certainly Alang keeping hopes high.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
UGL HONGKONG	Container	7,009	USD 530/LT LDT ('as is' Oman)
SINOKOR VLADIVOSTOK	Container	4,691	USD 589/LT LDT

PAKISTAN

SOLID (CAUTIOUS) BACKUP!

Handicapped.

Pakistan remains a solid and competitive backup to India but does remain severely handicapped (in comparison) by its self-imposed restrictions on the availability of fresh L/Cs for incoming vessels for recycling.

Only 4 - 5 vessels have recently received L/C approvals, yet, Local Buyers continue to work on further fresh approvals and once these do come through, we can (hopefully) expect further well-priced deals being concluded into Gadani over the final months of the year.

Dry bulk market.

Fundamentals are however something to remain concerned about for the rest of us in the industry as despite making a marginal improvement of USD 6/Ton this week, local steel plate prices have remained disconcertingly dead since January and there is no telling how this will affect steel prices as we move forward in the short term (especially towards the year-end).

Moreover, the Pakistani Rupee's suicidal decline past PKR 307.20 this week certainly was eye-opening. However, it did end the week at nearly PKR 305 against the U.S. Dollar, which certainly should still remain of concern as these are definitely some of the highest records for the currency.

Notwithstanding, it does seem that cheaper dry bulk vessels will be heading towards Pakistani shores in the immediate future, whilst containers will continue to head towards India as levels remain at least 50/LDT higher than those from Pakistan, and Bangladesh is completely out of the sub-continent picture.

NO MARKET SALES REPORTED

TURKEY

UNMOVED!

As vessels continue to be committed into sub-continent markets (India / Pakistan), the Turkish market remains devoid of any activity in comparison, as there remains little to report from this market.

Devoid of activity.

Despite news of market offerings into Aliaga, there has been no news emanating of any fixtures over the course of the week.

Moreover, even local fundamentals have little to report as local steel plate prices reported no interesting movements, while the Turkish Lira continues to languish at levels close to TRY 26.84.

Lira languishes.

As such, Turkey ends the week on an entirely unchanged note.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Animals in the desert obtain their water by either storing it inside their bodies or meeting their water needs from the foods they eat.*
- *The most dangerous tree in the world is the manchineel tree found in the Caribbean and Gulf of Mexico. The tree's trunk is covered with sap that causes skin to blister and can blind you if it gets in your eyes.*
- *The fruit of the manchineel tree is also very dangerous. When one eats it, the fruit causes ulcers in the mouth.*
- *Da Vinci created a rule of trees that states if you put all the branches of a tree together it will equal the thickness of the trunk. This rule appears to be true.*
- *The deforestation of our planet would actually reduce global warming, but there are more benefits to trees than just that, so we keep them.*
- *Many drugs are made from tress, like aspirin. Aspirin was originally created from willow bark.*
- *There is a festival held every six years in Japan called the Onbashira festival. During this festival, men ride logs down the side of a mountain to prove their bravery.*
- *The names of all the continents end with the same letter with which they start.*
- *The continent of Asia covers one-third of the earth's surface. It's home to 60 percent of the world's population.*
- *Australia is the largest island and the smallest continent of the world. It only contains one country.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
September 06 – Janmashtami	September 14 – September 20 September 26 - October 05

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
September 28 - Eid-e-Milad-um-Nami	September 14 – September 17 September 08 – October 01

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
September 29 – Mid-Autumn Festival	September 28 - Eid-e-Milad-um-Nami	**No Holidays in September**

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ALANG - Port Position as of September 08, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Insta	3,000	Diving Vessel	Arrived September 07
2	*One Happy*	*7,726*	*Bulk Carrier*	*Beached September 07*
3	*Sinokor Akita*	*4,672*	*Container*	*Beached September 07*
4	Zefyros Reefer	4,731	Reefer	Arrived September 03
Total Tonnage		**20,129**		

CHATTOGRAM - Port Position as of September 08, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Fine Star*	*9,859*	*Bulk Carrier*	*Beached September 04*
2	*Harin Navee 7*	*698*	*General Cargo*	*Beached September 02*
3	*Harmonia*	*9,738*	*Woodchip Carrier*	*Beached September 03*
4	*Jabal Ali 5*	*5,965*	*RoRo / Cargo*	*Beached September 05*
5	Kema	2,950	General Cargo	Arrived September 07
6	*Lauren Ocean*	*8,400*	*Bulk Carrier*	*Beached September 05*
7	*Ocean Success*	*10,163*	*Bulk Carrier*	*Beached September 04*
8	Patcharawadee 11	1,061	LPG	Arrived September 04
9	*Shun*	*10,356*	*Bulk Carrier*	*Beached September 05*
10	Young Sheng 19	1,118	Tanker	Arrived September 06
11	*Yuan Tu*	*3,495*	*General Cargo*	*Beached September 05*
Total Tonnage		**63,803**		

GADANI - Port Position as of September 08, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Chang Min*	*9,483*	*Bulk Carrier*	*Beached September 02*
2	Gloria 1	11,259	Bulk Carrier	Arrived September 03
3	*Sun Shine*	*10,317*	*Bulk Carrier*	*Beached September 02*
Total Tonnage		**31,059**		

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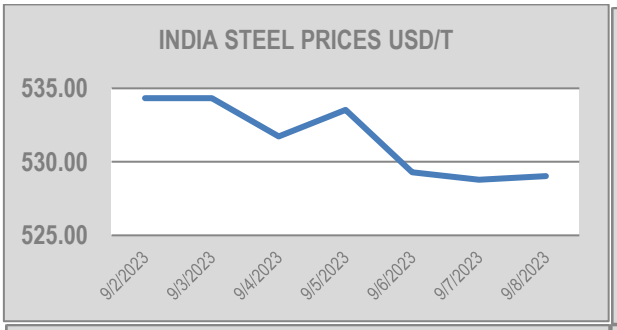
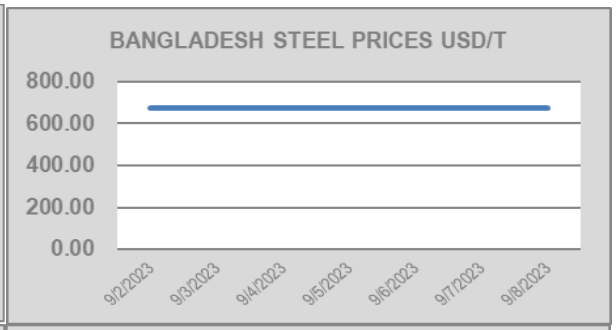
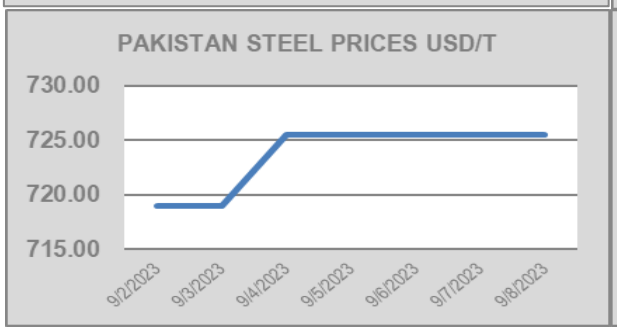
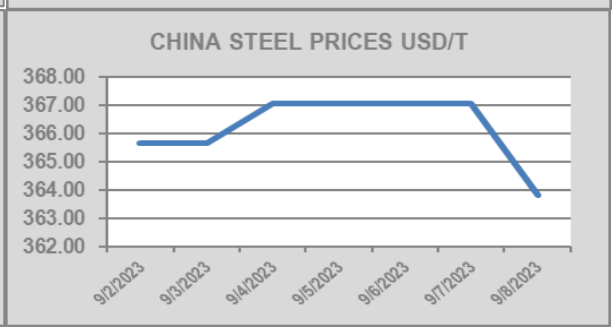
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
9/2/2023	534.33	44,200.00	718.95	220,000.00	672.81	73,000.00	365.66
9/3/2023	534.33	44,200.00	718.95	220,000.00	672.81	73,000.00	365.66
9/4/2023	531.72	44,000.00	725.49	222,000.00	672.81	73,000.00	367.06
9/5/2023	533.54	44,300.00	725.49	222,000.00	672.81	73,000.00	367.06
9/6/2023	529.29	44,000.00	725.49	222,000.00	672.81	73,000.00	367.06
9/7/2023	528.78	44,000.00	725.49	222,000.00	672.81	73,000.00	367.06
9/8/2023	529.04	44,000.00	725.49	222,000.00	672.81	73,000.00	363.83









www.gmsinc.net
GMS_Leadership
GMS Leadership
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311